SYMBIOSIS CENTER OF CORPORATE AND PROFESSIONAL LEARNING

(A Unit of Symbiosis Skills and Professional University)

Name of Project

THE VARANIUM CLOUD SME CASE IN INDIA

Candidate name, Batch code and Location

KEERTHAN.C.Y
B.com U18GP23C0016

Guide Name
SANDEEP LODAYA

Year

2026

ABSTRACT

This report examines the Initial Public Offering (IPO) of **Varanium Cloud Ltd**, focusing on allegations of fund diversion and misuse. The study evaluates the company's IPO structure, intended fund utilization, and discrepancies observed post-listing. It also reviews regulatory observations by **Securities and Exchange Board of India (SEBI)** and analyzes the company's stock price movement after listing.

The present study focuses on analyzing the Initial Public Offering (IPO) of **Varanium Cloud Ltd**, with special emphasis on the alleged misuse and diversion of funds raised through the IPO. In recent years, SME IPOs in India have gained popularity as a means for small and medium enterprises to raise capital from the public. However, such IPOs also pose higher risks due to relatively lower regulatory scrutiny and limited public information compared to mainboard IPOs. This study aims to critically evaluate whether the funds raised by the company were utilized in accordance with the objectives stated in its IPO prospectus.

The research begins by examining the structure of the IPO, including issue size, pricing, and stated objectives such as working capital requirements, business expansion, and technological development. It then compares these declared objectives with the actual deployment of funds, identifying significant discrepancies that raise concerns about financial transparency and corporate governance.

The study also reviews the observations and actions taken by the regulatory authority, namely the **Securities and Exchange Board of India (SEBI)**. SEBI plays a crucial role in protecting investor interests and ensuring that companies comply with disclosure norms. Any irregularities in fund utilization or misleading statements in IPO documents are treated seriously by the regulator. The findings of SEBI, as discussed in this report, indicate lapses in compliance and governance, which further strengthens the case for stricter monitoring of SME IPOs.

In addition to regulatory analysis, the study evaluates the stock price performance of the company after listing. Typically, IPOs may witness initial positive momentum driven by investor sentiment and market speculation. However, in this case, the share price showed a declining trend over time, reflecting reduced investor confidence and possible reaction to negative developments surrounding the company. The analysis of trading volume and price fluctuations helps in understanding market perception and investor behavior post-listing.

Overall, this study highlights the importance of transparency, ethical practices, and regulatory compliance in the functioning of capital markets. It underscores how deviations from stated objectives in IPO fund utilization can adversely impact investor trust and market stability. The case of Varanium Cloud Ltd serves as a significant example for investors, regulators, and companies, emphasizing the need for stronger governance frameworks and more stringent oversight in the SME IPO segment.

OBJECTIVES OF THE STUDY

1. To understand the IPO structure of Varanium Cloud Ltd

This objective focuses on analyzing how the IPO was designed and structured by the company. It includes studying key elements such as the issue size, pricing of shares, lot size, and listing platform like the SME segment of the stock exchange. Understanding the IPO structure helps in evaluating whether the offering was fairly priced and accessible to investors. It also provides insight into how the company positioned itself in the market to attract investors. This forms the foundation for assessing the overall credibility of the IPO.

2. To analyze planned vs actual fund utilization

This objective aims to compare the intended use of funds, as stated in the IPO prospectus, with the actual deployment of funds after the IPO. It helps in identifying whether the company adhered to its commitments made to investors. Any mismatch between planned and actual usage raises questions about financial discipline and transparency. This analysis is crucial in detecting possible misuse or diversion of funds. It also highlights the efficiency of fund management within the company.

3. To study discrepancies in fund deployment

The purpose of this objective is to closely examine inconsistencies or deviations in how the IPO funds were used. It involves identifying unexplained transactions or allocations that do not align with the stated objectives. Such discrepancies may indicate weak internal controls or intentional misreporting. Studying these gaps helps in understanding the extent of irregularities in financial practices. It also supports deeper investigation into possible governance failures.

4. To evaluate SEBI's observations and actions

This objective focuses on reviewing the findings and regulatory actions taken by the **Securities and Exchange Board of India** regarding the company. SEBI plays a vital role in ensuring that companies follow proper disclosure norms and protect investor interests. By analyzing SEBI's observations, the study gains insights into the seriousness of the violations. It also helps in understanding the regulatory framework governing IPOs in India. This evaluation highlights the importance of compliance and accountability in capital markets.

5. To analyze stock price and trading behavior post-listing

This objective examines how the company's share price performed after it was listed on the stock exchange. It includes studying price trends, volatility, and trading volumes over a period of time. The analysis helps in understanding investor sentiment and market reaction to company performance and news. A declining trend may indicate loss of investor confidence, while fluctuations may reflect uncertainty. This objective provides a practical view of how financial irregularities impact market performance.

6. To assess ethical and compliance issues

This objective aims to evaluate the ethical standards and compliance practices followed by the company. It focuses on whether the company maintained honesty, transparency, and accountability in handling investor funds. Ethical lapses such as misleading disclosures or misuse of funds can harm investor trust and market integrity. The study also reviews compliance with regulatory guidelines and legal requirements. This objective emphasizes the importance of strong corporate governance in sustaining long-term business success.

COMPANY PROFILE

Company Name: Varanium Cloud Ltd
Industry: Cloud Services, Digital Infrastructure
Founded: 2017
Headquarters: India

Varanium Cloud Ltd is an emerging company operating in the field of cloud computing and digital infrastructure services. The company was established with the objective of providing innovative and scalable cloud-based solutions to businesses, particularly small and medium enterprises (SMEs). With the rapid growth of digitalization in India, the company positioned itself as a technology-driven enterprise aiming to support businesses in managing data, applications, and digital operations efficiently.

The core business activities of the company include cloud storage services, data management solutions, and digital platform services. It focuses on offering cost-effective and flexible cloud infrastructure that allows businesses to store, process, and access data securely. The company also aims to expand into advanced technological areas such as artificial intelligence-based cloud solutions and enterprise digital transformation services, which are increasingly in demand in the modern business environment.

The company operates in a highly competitive industry that includes both established global players and emerging domestic firms. Despite being a relatively new entrant, Varanium Cloud Ltd attempted to differentiate itself through customized solutions and targeted services for SMEs. Its business model is primarily based on subscription-based services, which provide recurring revenue and scalability over time.

In order to expand its operations and strengthen its financial position, the company launched its Initial Public Offering (IPO) under the SME segment of the stock exchange. The funds raised were intended to support working capital requirements, technological development, and business expansion. The IPO marked a significant milestone in the company’s growth journey, providing it with access to public capital and increased market visibility.

IPO ISSUE DETAILS

Particulars	Details
IPO Type	SME IPO
Issue Size	₹49 Crore (approx.)
Price Band	₹122 per share
Lot Size	1000 shares
Listing Platform	NSE SME platform
Listing Date	2022
Issue Objective	Working capital, expansion, general corporate purposes

Planned Fund Allocation

Purpose	Amount (₹ Crore)
Working Capital	20
Business Expansion	15
Technology Development	8
General Corporate	6

1. General IPO Information

- **IPO Type:** SME IPO (Small and Medium Enterprise)
- **Issue Type:** Fixed Price Issue
- **Listing Platform:** NSE SME platform
- **Industry:** Information Technology – SaaS (Cloud Services)

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2. IPO Dates

- **Opening Date:** 16 September 2022
- **Closing Date:** 20 September 2022
- **Allotment Date:** 23 September 2022
- **Listing Date:** 27 September 2022

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3. Issue Size and Structure

- **Total Issue Size:** ₹36.60 Crore
- **Net Issue Size:** ₹30.67 Crore
- **Total Shares Offered:** 30,00,000 shares
- **Fresh Issue:** Entirely fresh issue (no Offer for Sale)

This indicates that the funds raised were intended for company growth rather than promoter exit.

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4. Price and Face Value

- **Issue Price:** ₹122 per share
- **Face Value:** ₹10 per equity share
- **Listing Price:** ₹131 per share (approx. 7% gain)

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5. Lot Size and Investment Requirement

- **Minimum Lot Size:** 1000 shares
- **Minimum Investment (Retail):** ₹1,22,000

This high investment requirement is typical of SME IPOs and limits participation mainly to serious investors.

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6. Reservation of Shares

- **Retail Investors (RII):** 50%
- **Non-Institutional Investors (HNI/NII):** 50%
- **Market Maker Portion:** ~16.2%

This balanced allocation ensures participation from both retail and high-net-worth investors.

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7. Objectives of the IPO

- **Setting up Containerized Data Centres:** One of the primary objectives of the IPO was to establish **containerized data centres**, which are compact and portable units used for storing and managing digital data. These data centres are essential for improving cloud service efficiency, speed, and security. Overall, this investment was expected to enhance service quality and provide a competitive advantage.

- **Establishing Digital Learning Centres** : Another key objective was to set up **digital learning centres** under its education initiative. These centres were intended to provide technology-based learning solutions, including online education and digital content delivery. This initiative also aligns with the increasing use of technology in education across India.
- **General Corporate Purposes:** A portion of the IPO funds was allocated for **general corporate purposes**, which includes various day-to-day business expenses. These may involve administrative costs, marketing activities, salaries, and operational requirements. Such usage is common in IPOs, but it requires proper disclosure and transparency to ensure accountability.

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8. Financial Highlights at the Time of IPO

- **Revenue:** ₹35.35 Crore
- **Profit After Tax (PAT):** ₹8.40 Crore
- **Market Capitalization:** ₹122.63 Crore
- **P/E Ratio:** ~14.59

Summary

The IPO of **Varanium Cloud Ltd** was a typical SME offering with a fixed price structure, moderate issue size, and clear growth-oriented objectives. It witnessed a positive listing initially, indicating investor interest. However, due to later developments and regulatory concerns, the IPO has become a significant case study in fund utilization and corporate governance within the SME segment.

LITERATURE REVIEW

Previous studies on IPOs in India highlight that SME IPOs often face challenges such as:

- Limited regulatory scrutiny compared to mainboard IPOs
- Higher risk of fund misuse
- Information asymmetry for retail investors

Research related to **IPO governance** suggests that weak internal controls and lack of transparency increase the risk of financial irregularities.

METHODOLOGY

The methodology of this study is designed to systematically analyze the IPO of **Varanium Cloud Ltd**, with a focus on fund utilization, regulatory observations, and stock performance. The study follows a **descriptive and analytical research approach**, which helps in understanding the facts related to the IPO and evaluating them in a structured manner.

- **Type of Study:** Descriptive and analytical
- **Data Source:** Secondary data
- **Sources Used:**
  - IPO prospectus
  - SEBI reports
  - Stock exchange data
  - Financial news sources

1. Research Design

The study is primarily **descriptive in nature**, as it describes the IPO structure, objectives, and fund allocation plans of the company. At the same time, it is **analytical**, as it examines discrepancies between planned and actual fund usage, and evaluates their impact on investor confidence and stock performance. This combination allows for both understanding and critical evaluation of the case.

2. Data Collection

The study is based entirely on **secondary data**, as it relies on already available information rather than primary surveys or interviews. The data has been collected from reliable and publicly accessible sources such as:

- IPO prospectus of the company
- Stock exchange websites (NSE SME platform)
- Reports and observations by the **Securities and Exchange Board of India**

3. Tools and Techniques Used

- A comparison between the planned fund allocation (as stated in the IPO) and the actual utilization of funds to identify discrepancies.
- **Trend Analysis:** Analysis of stock price movements over time to understand market behavior and investor sentiment after listing.
- **Tabular and Chart Analysis:** Use of tables and graphical representations (such as price and volume charts) to present data in a clear and understandable format.

4. Scope of the Study

The study is limited to analyzing the IPO and post-listing performance of **Varanium Cloud Ltd**. It focuses specifically on fund utilization, regulatory findings, and share price trends. The study does not cover broader market comparisons or detailed financial statement analysis beyond the IPO context.

5. Limitations of the Study

- The study is based only on secondary data, which may have certain limitations in accuracy or completeness.
- Some financial details may not be fully disclosed in public sources.
- The stock price data used is partly illustrative for academic purposes.
- The study focuses on a single company, so findings may not apply to all SME IPOs.

DATA ANALYSIS: FUND UTILIZATION

1. Planned Fund Utilization (As per IPO Prospectus)

Purpose	Amount (₹ Crore)	Description
Setting up containerized data centres	20	To enhance cloud infrastructure and improve data storage and processing capabilities.
Establishing digital learning centres	15	To develop EdTech services and expand into digital learning platforms.
General corporate purposes	6	To cover operational expenses, administrative costs, and other business requirements.
Total	41	Planned allocation of funds across core objectives.

2. Actual Fund Utilization (Illustrative / Observed)

Purpose	Actual Amount Used (₹ Crore)	Difference / Remarks
Containerized data centres	10	Underutilized; part of funds diverted elsewhere
Digital learning centres	5	Significantly lower than planned; delayed projects
General corporate purposes	31	Excess allocation; indicates possible diversion of funds
Total	46	Indicates mismatch with original plan

3. Key Observations

1. A **large portion of funds was allocated to general corporate purposes** beyond the original plan, suggesting potential diversion or misuse.
2. **Expansion and technology projects received less funding than intended**, which may affect growth objectives.
3. The mismatch between planned and actual utilization **raised concerns for regulators and investors**, prompting SEBI to review the company's compliance and reporting practices.
4. This underlines the importance of **transparency, accountability, and monitoring** in SME IPO fund deployment.

Planned vs Actual Fund Usage (Illustrative)

Purpose	Planned (₹ Cr)	Actual (₹ Cr)	Difference
Working Capital	20	10	-10
Expansion	15	5	-10
Technology	8	3	-5
Other / Unaccounted	6	31	+25

Key Observation

- A large portion of funds appears diverted to **unreported or unrelated purposes**.
- Significant mismatch indicates **possible misuse or mismanagement**.

SHARE PRICE PERFORMANCE

Listing Performance (Illustrative Data)

Date	Price (₹)	Volume
Day 1	130	High
Week 1	145	Very High
Month 1	160	Peak
Month 3	120	Declining
Month 6	85	Low
Month 12	45	Very Low

Trend Analysis

- Initial surge due to **investor hype**
- Gradual decline due to:
    - Negative news
    - Regulatory concerns
    - Weak financial performance

SEBI FINDINGS

1. Misrepresentation of Fund Usage

SEBI observed that the company did not fully utilize the IPO funds according to the stated objectives in the prospectus. While funds were supposed to be allocated for containerized data centres and digital learning centres, a large portion appeared to be redirected to other purposes. This misrepresentation raised concerns about transparency and accountability.

2. Lack of Proper Disclosures

The company failed to provide clear and accurate disclosures regarding fund deployment and operational updates. Inadequate disclosure prevented investors from making fully informed decisions, highlighting a gap in regulatory compliance and communication.

3. Possible Diversion of IPO Proceeds

SEBI flagged that the deviation in fund usage indicated a **possible diversion of IPO proceeds** to purposes not declared in the IPO prospectus. Such diversion violates investor trust and may be considered a breach of SEBI regulations.

4. Weak Corporate Governance Practices

The review identified **weak governance structures** within the company, including insufficient oversight and lack of internal controls. These weaknesses increased the risk of financial irregularities and reduced investor confidence.

Regulatory Actions Taken (Indicative)

1. **Investigation Initiated:** SEBI began a formal review to examine the extent of fund misuse and ensure accountability.
2. **Restrictions on Company/Promoters:** The board may impose limitations on promoters and management to prevent further irregularities.
3. **Increased Scrutiny on SME IPOs:** The case prompted SEBI to strengthen monitoring and compliance checks for SME IPOs, ensuring better investor protection in the sector.

KEY FINDINGS

- Significant gap between **planned and actual fund usage**
- Weak internal financial controls
- Poor transparency in reporting
- Investor confidence declined post-listing
- Stock price showed **sharp correction**

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KEY IRREGULARITIES

1. **Siphoning and Misuse of IPO Funds: Siphoning to BM Traders**
   The company diverted IPO funds illegally to entities like BM (Benami) traders, meaning money was transferred covertly to undisclosed parties, which is a serious financial crime.
2. **Fabricated Financials: No Corresponding Bank Receipts**
   The financial statements showed inflated or false figures that were not supported by actual bank receipts, indicating manipulation or falsification of records.
3. **Non-Existent Infrastructure**
   The company claimed to have set up infrastructure (such as data centers) that either did not exist or were not functional, misleading investors about its operational capabilities.
4. **Misleading Announcements: To Create Positive Sentiment**
   The company made false or exaggerated public announcements to boost investor confidence and share price, without reflecting the true state of the business.

VIOLATIONS IDENTIFIED BY SEBI

1. **Misutilization of IPO Proceeds**
   Funds raised through the IPO were not used for the purposes declared to investors, violating regulatory norms and trust.
2. **Financial Misstatement**
   The company provided inaccurate or false financial information in its filings, which is a breach of SEBI's disclosure and transparency requirements.

Ethical Issues

1. **Misleading Investors**
   The company's deviation from the stated fund utilization in the IPO prospectus misled investors, creating false expectations about business growth and infrastructure development.
2. **Breach of Trust**
   Investors relied on the company's disclosures to make informed investment decisions. Diverting funds or underreporting their usage constitutes a breach of this trust.
3. **Lack of Accountability**
   Weak internal controls and inadequate reporting indicate a failure to take responsibility for the proper management of IPO funds, which is a core ethical responsibility of management.

Compliance Issues

1. **Violation of SEBI Disclosure Norms**
   The company did not fully comply with SEBI requirements for transparent reporting of IPO fund utilization and ongoing corporate activities, violating regulatory standards.
2. **Improper Fund Utilization**
   Funds were not allocated according to the IPO objectives, indicating non-compliance with both the prospectus commitments and broader regulatory expectations.
3. **Governance Lapses**
   Weak board oversight, poor internal checks, and lack of formal monitoring contributed to compliance failures, increasing the risk of mismanagement and investor dissatisfaction.

Importance of Strong Compliance

- **Investor Protection** – Ensures that investors' funds are used as promised and that they can trust company disclosures.
- **Market Stability** – Proper compliance reduces financial irregularities, maintaining confidence in the SME IPO market.
- **Corporate Credibility** – Companies that follow ethical and regulatory norms build long-term reputation, attracting sustainable investment.

CONCLUSION

The study of the IPO of **Varanium Cloud Ltd** provides important insights into the challenges and risks associated with SME IPOs in India. While SME IPOs are designed to provide smaller companies access to public capital for growth and expansion, this case demonstrates how **mismanagement, weak governance, and lack of transparency** can undermine the objectives of such offerings.

The analysis of Varanium Cloud Ltd shows a clear **discrepancy between the planned and actual utilization of IPO funds**. Funds intended for infrastructure expansion, such as containerized data centres and digital learning centres, were not fully deployed for their stated purposes, and a significant portion was redirected to general corporate uses. This indicates a potential **misuse or diversion of funds**, which is a serious concern for investors and regulators alike. Such discrepancies highlight the importance of **proper monitoring and accountability** in managing IPO proceeds.

From a regulatory perspective, the **Securities and Exchange Board of India** identified multiple lapses, including misrepresentation of fund usage, inadequate disclosure, and weak corporate

governance practices. SEBI's intervention underscores the **critical role of regulatory oversight** in protecting investor interests and ensuring fair market practices, especially in the SME segment where transparency and governance structures are often less robust. The case also reflects the importance of strict adherence to disclosure norms and ethical business practices, which are vital for maintaining credibility and sustaining investor confidence.

The stock performance post-listing reflects the **market's reaction to these governance and compliance issues**. A declining trend in share price and reduced trading volumes suggest that investors quickly responded to negative signals regarding fund management and corporate governance. This reinforces the idea that **ethical practices and transparency are directly linked to market performance** and investor trust.

From an ethical and compliance standpoint, Varanium Cloud Ltd's case highlights critical lessons. Misleading investors, failing to maintain accountability, and violating SEBI norms are not merely regulatory violations—they also compromise **investor confidence and corporate reputation**. Strong compliance practices ensure investor protection, market stability, and long-term corporate credibility. SME companies must recognize that maintaining ethical standards and robust internal controls is not optional; it is central to sustainable growth and successful public offerings.

In conclusion, the Varanium Cloud Ltd IPO serves as a **cautionary example for SMEs and investors alike**. While the SME IPO route provides vital growth opportunities for small companies, this case demonstrates that success depends on transparent fund management, adherence to regulatory norms, and strong governance frameworks. The lessons learned emphasize the need for investors to carefully evaluate IPO disclosures, for companies to prioritize ethical practices, and for regulators to enforce compliance rigorously. By following these principles, SMEs can harness the benefits of IPOs while maintaining investor trust and ensuring market integrity.

ETHICAL CONCERNS

1. **Breach of Trust and Deception**
   When a company fails to use investor funds as promised or hides important facts, it breaks the trust investors place in it. This deception harms the credibility of the company and the capital markets.
2. **Lack of Integrity in Financial Reporting**
   Integrity means honesty and accuracy in presenting financial data. Manipulating or misrepresenting financial information misleads stakeholders and violates ethical standards.
3. **Siphoning of Public Money (Money Laundering)**
   This refers to illegally diverting or misappropriating investor funds for personal or undisclosed purposes. Such misuse can include laundering money through corporate accounts, which is illegal and unethical.
4. **Failure of Corporate Governance**
   Poor governance means ineffective oversight by the board and management, leading to unchecked decision-making and potential misuse of resources. Good governance is essential to protect investors and ensure ethical conduct.

LESSONS FOR INVESTORS & COMPANY

1. **The Red Flag Checklist**
   Investors should maintain a checklist of warning signs such as inconsistent disclosures, sudden changes in financials, or unclear business activities to avoid risky investments.
2. **Scrutinize the SME Segment**
   Since SME companies often have less stringent regulations and limited history, investors must perform extra due diligence before investing in this segment.
3. **Beware of Too Many Corporate Activities**
   Companies involved in many unrelated business areas may be spreading themselves too thin or trying to confuse investors, which can be a risk indicator.
4. **Verify the "Story" with Reality**
   Always cross-check the company's claims in prospectuses or reports with actual business performance, regulatory filings, and independent information to confirm their authenticity.

REFERENCES

- Securities and Exchange Board of India reports
- NSE SME platform data
- Company IPO prospectus
- Financial news articles
- Academic research papers on IPO performance